

1 Consolidated statement of profit or loss



Section overview

The approach to preparing the consolidated statement of profit or loss is consistent with the approach taken for the consolidated statement of financial position.

1.1 Context

The consolidated statement of profit or loss provides the owners of the group with important information over and above that which is available in the parent's own statement of profit or loss. The parent's separate statement of profit or loss will show the investment income (dividends) received from the subsidiary. In the consolidated statement of profit or loss, this is replaced with the profits controlled by the parent company.

1.2 Basic principles

In Chapter 10 we introduced the basic principles and mechanics involved in the consolidation of the statement of profit or loss as follows:

Consolidated statement of profit or loss

	CU
Revenue (P + S (100%) - intra-group items)	X
Costs (P + S (100%) - intra-group items)	(X)
Profit for the year (PFY)	X
	=
Profit for the year attributable to:	
Owners of P (balancing figure)	X
Non-controlling interests (NCI% × S's PFY (after adjusting for intra-group items))	X
	X
	=

The consolidated statement of profit or loss is prepared on a basis consistent with the consolidated statement of financial position. Therefore:

The consolidated statement of profit or loss shows income generated from the net assets under the parent company's control.	In the consolidated statement of profit or loss, dividend income from the subsidiary is replaced with the subsidiary's income and expenses on a line-by-line basis as far as profit for the year (PFY).
The single entity concept is applied.	The effects of transactions between group members are eliminated on consolidation.
The ownership of profits is shared between the owners of the parent and any non-controlling interests.	Profit for the year is split between the profit attributable to the parent's shareholders (balancing figure) and the profit attributable to the non-controlling interests (calculated as the NCI's share of S's PFY after consolidation adjustments).

In sections 2–6 of this chapter we will consider various consolidation adjustments. We have already seen many of the issues raised in the context of the consolidated statement of financial position. In this chapter we will look at how the adjustments are made from the point of view of the consolidated statement of profit or loss.



Professional skills focus: Concluding, recommending and communicating

An exam question may expect you to use the underlying concepts of single entity, ownership and control to explain why a consolidated statement of profit or loss is prepared the way it is, or why certain adjustments are required on consolidation. This is not only a test of knowledge, but also of your ability to communicate these concepts in a way that is understandable, using language that is appropriate for your audience.

2 Intra-group transactions and unrealised profit



Section overview

- The amount of **intra-group sales should be deducted** as a consolidation adjustment from consolidated revenue and cost of sales.
- A provision for unrealised profit should be set against the selling company's profit.
- Profits or losses on non-current asset transfers should be eliminated against the selling company's profit.
- A **depreciation adjustment may be required** so that depreciation is **based on the cost of the asset to the group**.

2.1 Intra-group trading

When one company in a group sells goods to another group member an identical amount is added to the revenue of the selling company and to the cost of sales of the purchasing company. Yet as far as group as a single entity is concerned, **no sale has taken place**, as a single entity cannot trade with itself.

The consolidated figures for sales revenue and cost of sales should represent **sales to, and purchases from third parties**. An adjustment is therefore necessary to reduce the sales revenue and cost of sales figures by the amount of intra-group sales made during the year.

This adjustment is made as follows:

Step 1 Add across P and S revenue and P and S cost of sales.

Step 2 Adjust revenue and cost of sales to eliminate intra-group sales. The journal entry to record this adjustment is:

DR Revenue	CUX	
CR Cost of sales		CUX

Note: This adjustment has **no effect on profit** and hence will have **no effect on the non-controlling interests** share of profit.

The intra-group trading could be between a parent and a subsidiary or between two subsidiaries. The same adjustment is required regardless of which group company was the seller.

2.2 Unrealised profits on trading

If any items were sold at a profit by one group company to another and remain in inventories at the period end (ie, have **not been sold on outside the group** by the end of the reporting period), their carrying amount must be adjusted to the **lower of cost and NRV to the group** (as for CSFP), again applying the **single entity concept**.

Steps to set up the provision for unrealised profit (PURP) are:

- Step 1** In respect of the goods sold between group companies, calculate the amount of the inventory remaining at the end of the reporting period.
- Step 2** Calculate the intra-group profit included within that inventory.
- Step 3** Make a provision against the inventories to eliminate the intra-group profit and in turn **reduce the carrying amount of inventory to its cost to the group**. The journal entry required to make this adjustment is:

DR Cost of sales	CUX	
CR Inventory		CUX

Notes

- 1** In practical terms the provision is **set up by increasing cost of sales by the amount of the unrealised profit**. (If closing inventory is reduced, cost of sales is increased.)
- 2** This provision should always be set against the selling company's profit. As a result, where the seller is a **subsidiary that is not wholly owned**, the provision reduces the profit for the year for **NCI calculations**.
- 3** Any profit earned on goods that have been sold on to a third party is realised as far as the group is concerned, so no adjustment is necessary.

Interactive question 1: Unrealised profits

Whales Ltd owns 75% of Porpoise Ltd. The gross profit for each company for the year ended 31 March 20X7 is calculated as follows:

	Whales Ltd	Porpoise Ltd
	CU	CU
Revenue	120,000	70,000
Cost of sales	(80,000)	(50,000)
Gross profit	<u>40,000</u>	<u>20,000</u>

During the year Porpoise Ltd made sales to Whales Ltd amounting to CU30,000. CU15,000 of the goods were in inventories at the year end. Profit made on the year end inventories items amounted to CU2,000.

Requirement

Calculate group revenue, cost of sales and gross profit. Fill in the proforma below.

	Whales Ltd CU	Porpoise Ltd CU	Adjustments CU	Consol CU
Revenue				
Cost of sales – per question – PURP				
Gross profit				

See **Answer** at the end of this chapter.

2.3 Non-current asset transfers

We have so far looked at the transfer of goods between group entities, however group entities may also transfer non-current assets. The principles covered above regarding returning the transferred asset to its cost to the group and eliminating any unrealised profit on the transaction can also be applied to the transfer of non-current assets. There is an additional consideration regarding the depreciation that is subsequently charged on the transferred asset. The consolidated statement of profit or loss should include depreciation of non-current assets based on **cost to the group**.

If the transfer takes place in the current period, the adjustments required are as follows:

- Eliminate the **profit or loss on transfer**.
- The **profit or loss** is eliminated against the **seller**. This affects the **non-controlling interests where S was the seller** (ownership).
- Adjust **depreciation** to ensure depreciation is based on the cost of the non-current assets to the group.
- **Depreciation** is also adjusted against the **seller** even though it is the purchaser who recorded it. This is because the depreciation adjustment reflects the realisation of the profit over time ie, over the asset's life (ownership).

Note: If the transfer took place in a prior period, a consolidation adjustment is required in the current period to correct depreciation to what it would have been had the transfer not taken place.

Context example: Non-current asset transfers

(Based on Interactive question 4 in Chapter 11)

P Ltd owns 80% of S Ltd. P Ltd transferred to S Ltd a non-current asset (NCA) at a value of CU15,000 on 1 January 20X7. The original cost to P Ltd was CU20,000 and the accumulated depreciation at the date of transfer was CU8,000. The asset has a total useful life of five years, which is unchanged following the transfer.

At 31 December 20X7 the adjustment in the consolidated statement of financial position (CSFP) was calculated by comparing:

	CU
Carrying amount of NCA with transfer ($15,000 \times 2/3$)	10,000
Carrying amount of NCA had no transfer taken place ($(20,000 - 8,000) \times 2/3$)	(8,000)
	<u>2,000</u>

Adjustment made in CSFP was:

	CU	CU
DR Seller's retained earnings	2,000	
CR Non-current assets		2,000

In the consolidated statement of profit or loss (**CSPL**) for the year:

Step 1 Eliminate the profit (or loss) on transfer at 1 January 20X7 since it is unrealised

	CU	CU
DR Seller's profit or loss for year (heading where profit credited) (15,000 - 12,000)	3,000	
CR NCA carrying amount in CSFP		3,000

Note: For the non-current asset note to the consolidated statement of financial position, the credit to non-current asset carrying amounts should be split into a debit of CU5,000 to the non-current asset cost account and a credit of CU8,000 to the non-current asset accumulated depreciation account.

Step 2 Increase/(decrease) the depreciation charge, so that it is calculated on the asset's cost to the group. In this case, decrease the charge by

	CU	CU
Depreciation without transfer $((20,000 - 8,000)/3)$		4,000
Depreciation with transfer $(15,000/3)$		<u>(5,000)</u>
Decrease depreciation charge		<u>(1,000)</u>
	CU	CU
DR NCA carrying amount in CSFP	1,000	
CR Selling company profit or loss for year (heading where depreciation charged)		1,000

Note: The non-current asset note to the consolidated statement of financial position should include this debit in accumulated depreciation. The overall effect is an adjustment of CU2,000 in both the consolidated statement of profit or loss and consolidated statement of financial position.



Interactive question 2: Non-current asset transfers

P Ltd owns 80% of S Ltd. P Ltd transferred a non-current asset to S Ltd on 1 January 20X7 for CU15,000. The asset originally cost P Ltd CU12,000 and depreciation to the date of transfer was CU4,800. The profit on transfer has been credited to depreciation expense. The asset has a useful life of five years, which is unchanged. Total depreciation for 20X7 was CU35,000 for P Ltd and CU25,000 for S Ltd.

Requirement

Show the adjustments required for the above transaction in the consolidated statement of profit or loss for the year ended 31 December 20X7.

Fill in the proforma below.

	P Ltd	S Ltd	Adjustment	Consolidated
	CU	CU	CU	CU

Depreciation NCA PURP
Depreciation adjustment

See **Answer** at the end of this chapter.

3 Consolidated statement of profit or loss workings



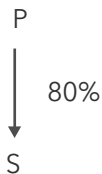
Section overview

The key workings for the preparation of the consolidated statement of profit or loss is the consolidation schedule.

3.1 Proforma workings

As questions increase in complexity, a formal pattern of workings is needed.

Step 1 Establish group structure:



Step 2 Prepare consolidation schedule:

	P CU	S CU	Adj'mnts CU	Consol. CU
Revenue	X	X	(X)	X
Cost of sales:				
- Per question	(X)	(X)	X	
- PURP (seller's accounts)	(X)	or (X)		
Expenses:				
- per question	(X)	(X)		
- Goodwill impairment (if any)*	(X)	(X)		(X)
				(X)
Tax - per question	(X)	(X)		(X)
Profit		Y		
		=		

* If the non-controlling interests are measured at fair value, then the NCI's share of the goodwill impairment loss will be allocated to the NCI.

May need workings for:

- unrealised profit (PURP)
- goodwill impairment

Step 3 Calculate non-controlling interests (NCI):

$$S \text{ PFY} \times \text{NCI\%} \qquad \qquad \qquad \text{NCI\%} \times Y = \begin{array}{r} \text{CU} \\ \text{X} \\ - \end{array}$$



Professional skills focus: Assimilating and using information

Preparing a consolidated financial statement, whether it is the consolidated statement of profit or loss or the consolidated statement of financial position, requires the assimilation of a lot of information to get to the right answer. Using standard consolidation workings like these given here allows you to assimilate and use that information efficiently in an exam situation.



Interactive question 3: Consolidated statement of profit or loss workings

Pathfinder Ltd owns 75% of Sultan Ltd. Statements of profit or loss for the two companies for the year ending 30 September 20X7 are as follows.

	Pathfinder Ltd CU	Sultan Ltd CU
Revenue	100,000	50,000
Cost of sales	(60,000)	(30,000)
Gross profit	40,000	20,000
Expenses	(20,000)	(10,000)
Finance income from Sultan Ltd	1,500	
Profit before tax	21,500	10,000
	Pathfinder Ltd CU	Sultan Ltd CU
Income tax expense	(6,000)	(3,000)
Profit for the year	15,500	7,000

During the year one group company sold goods to the other for CU20,000 at a gross profit margin of 40%. Half of the goods remained in inventories at the year end.

Requirements

- 3.1 Prepare extracts from Pathfinder Ltd's consolidated statement of profit or loss for the year ended 30 September 20X7 showing revenue, cost of sales, gross profit and non-controlling interests, assuming that the intra-group sales have been made by Pathfinder Ltd to Sultan Ltd.
- 3.2 Prepare Pathfinder Ltd's consolidated statement of profit or loss for the year ended 30 September 20X7, assuming that the intra-group sales have been made by Sultan Ltd to Pathfinder Ltd.

See **Answer** at the end of this chapter.

4 Acquisitions made part-way through a reporting period



Section overview

- The results of the subsidiary should be consolidated from the date of acquisition.
- The profit or loss amounts of the subsidiary should be time apportioned.

4.1 Method of apportionment

When we looked at the statement of financial position, we saw that consolidated retained earnings included only the **post-acquisition profits** of the subsidiary. This principle also applies to the consolidated statement of profit or loss. If the subsidiary is **acquired part-way through the reporting period**, the statement of profit or loss of the subsidiary should be split into **pre-acquisition** and **post-acquisition portions**. Only the **post-acquisition** figures should be included in the consolidated statement of profit or loss. The pre-acquisition profits are part of retained earnings, which forms part of the fair value of identifiable assets acquired and liabilities assumed at acquisition, and are therefore included in the goodwill calculation (see Chapter 11).

Notes

- 1 Assume revenue and expenses accrue evenly over the year unless it is indicated otherwise – therefore time-apportion results of the subsidiary from the date of acquisition.
- 2 Time-apportion totals for revenue, cost of sales, expenses and tax first, then deduct post-acquisition intra-group items.

Interactive question 4: Acquisition part-way through the reporting period

P Ltd acquired 75% of S Ltd on 1 April 20X7. Extracts from the companies' statements of profit or loss for the year ended 31 December 20X7 are as follows.

	P Ltd	S Ltd
	CU	CU
Revenue	100,000	75,000
Cost of sales	(70,000)	(60,000)
Gross profit	<u>30,000</u>	<u>15,000</u>

Since acquisition P Ltd has made sales to S Ltd of CU15,000. None of these goods remain in inventories at the year end.

Requirement

Calculate revenue, cost of sales and gross profit for the group for the year ending 31 December 20X7.

P Ltd Consolidated statement of profit or loss for the year ended 31 December 20X7

	9/12			
	P Ltd	S Ltd	Adjustments	Consolidated
	CU	CU	CU	CU

Revenue

Cost of sales

Gross profit

See **Answer** at the end of this chapter.



Professional skills focus: Structuring problems and solutions

It is important to pay attention to the date on which a subsidiary was acquired. As you can see from the question above, the date has a big effect on the consolidated financial statements, as only the results earned by the subsidiary after it became a member of the group are consolidated.

5 Other adjustments



Section overview

The effect of all other intra-group transactions should be cancelled on consolidation.

5.1 Dividends

The parent company holds shares in the subsidiary and will therefore be entitled to any dividends paid by that subsidiary. The payment and receipt of intra-group dividends should be eliminated on consolidation. Adjusting for intra-group dividends is made a bit more complicated by the fact that:

- dividends received are shown as finance (income in the separate statement of profit or loss of the parent; but
- dividends paid are shown in the statement of changes in equity.

Nevertheless, the single entity concept must be applied to dividends paid by the subsidiary by:

- cancelling P's dividend income from S in P's statement of profit or loss against S's dividends paid in S's statement of changes in equity; and
- leaving the uncanceled amount of S's dividends to be shown as the dividends paid to the non-controlling interests in the consolidated statement of changes in equity.

5.2 Redeemable preference shares

Redeemable preference shares (and some irredeemable preference shares) are treated as a **financial liability** (under IAS 32, Financial Instruments: Presentation) rather than as part of equity. Consequently, distributions to shareholders are classed as **finance costs** rather than as dividends.

On consolidation: **finance income received/receivable** in the parent's accounts is **cancelled** against the amount **paid/payable** in the subsidiary's accounts, leaving only the portion paid/payable to third parties as a finance cost.

5.3 Interest and management charges

Interest or management charges paid/payable in the statement of profit or loss of the subsidiary (expense) **should be cancelled** against the **interest or management charges received/receivable** in the statement of profit or loss of the parent company (income).

5.4 Fair value adjustments on acquisition

Where a non-current asset is adjusted to fair value on acquisition, or an intangible asset is recognised for the first time, the consolidated statement of profit or loss is adjusted to:

- Include the excess depreciation on the fair value adjustment.
- Include amortisation of the intangible asset.

6 Consolidated statement of changes in equity



Section overview

- The consolidated statement of changes in equity (CSCE) shows the change in group equity reconciling the position at the start of the year with the position at the end of the year.
- There are separate analysis columns for each component of equity (each type of share capital and reserves) in respect of the parent's equity holders.
- Changes in the non-controlling interests are presented in a single column.

6.1 Structure of CSCE

The CSCE is the **link** between the consolidated statement of profit or loss, or consolidated statement of profit or loss and other comprehensive income, and the figures for equity presented in the consolidated statement of financial position, in that it shows the movement between retained earnings and reserves brought forward at the start of the year and those carried forward at the end of the year. The CSCE deals with transactions with shareholders (including the NCI) in their capacity as shareholders.

In the consolidated statement of changes in equity:

- There are **separate analysis columns** for the parent's share capital and the group share of each of the reserves (eg, retained earnings, revaluation surplus etc), together with a total column.
 - An entry will always be required for total comprehensive income for the year, which is the profit for the year plus any items of other comprehensive income.
 - There may be an entry for dividends paid/payable.
 - There will sometimes be entries for issues of share capital and revaluations of non-current assets (dealt with in Chapter 4). Revaluation gains or losses will be shown as part of total comprehensive income.
- There is a single column relating to the **non-controlling interests in subsidiaries**.
 - There will be an entry for the NCI's share of S's total comprehensive income for the year.
 - There may be an entry for the NCI's share of dividends paid/payable.

- There will sometimes be entries for the revaluations of S's non-current assets (dealt with in Chapter 4).
- In practice there will sometimes be entries for issues of share capital by S, but these fall outside the syllabus.
- Transfers between reserves in S should never be shown, because they contra out against each other in this single column.
- If a subsidiary is acquired during the year there will be an entry for NCI added on the acquisition of a subsidiary.

Worked example: CSCE

The following are extracts from the financial statements for the year ended 30 June 20X8 of Willow plc and Rowan Ltd.

	Willow plc CU	Rowan Ltd CU
Operating profit	196,000	95,000
Dividends from Rowan Ltd	24,000	
Profit before tax	220,000	95,000
Income tax expense	(70,000)	(30,000)
Profit for the year	150,000	65,000
Dividends paid	20,000	30,000
Share capital (CU1 shares)	200,000	50,000

Willow plc purchased 40,000 shares in Rowan Ltd some years ago. Willow plc's retained earnings at 1 July 20X7 were CU270,000.

Requirement

Prepare the consolidated statement of profit or loss and the consolidated statement of changes in equity for Willow plc for the year ended 30 June 20X8, as far as the information permits. You should assume that Rowan Ltd had no retained earnings at 1 July 20X7. NCI is measured on the proportionate basis.

Solution

Consolidated statement of profit or loss for the year ended 30 June 20X8

	CU
Operating profit (196 + 95)	291,000
Income tax expense (70 + 30)	(100,000)
Profit for the year	191,000
Profit attributable to:	
Owners of Willow plc (balancing figure)	178,000
Non-controlling interests (20% × 65)	13,000
	191,000

Note: The amount attributable to the owners of Willow plc can be separately calculated, omitting the intra-group dividend (as Willow plc's shareholders are given their share of Rowan Ltd's profits, they cannot also be given their share of a dividend paid out of those profits): 100% of (150,000 - 24,000) + 80% of CU65,000 = CU178,000.

Consolidated statement of changes in equity for the year ended 30 June 20X8

Attributable to owners of Willow plc

	Share capital CU	Retained earnings CU	Total CU	Non- controlling interest CU	Total CU
Balance at 1 July 20X7 (W)	200,000	270,000	470,000	10,000	480,000
Total comprehensive income for the year	-	178,000	178,000	13,000	191,000
Dividends (W)		(20,000)	(20,000)	(6,000)	(26,000)
Balance at 30 June 20X8	<u>200,000</u>	<u>428,000</u>	<u>628,000</u>	<u>17,000</u>	<u>645,000</u>

WORKING

Non-controlling interests

Opening NCI balance at 1 July 20X7* $20\% \times 50,000 = \text{CU}10,000$

NCI share of Rowan Ltd's dividend $20\% \times 30,000 = \text{CU}6,000$

*The NCI is measured on the proportionate basis ie, as the NCI's share of the subsidiary's net assets at acquisition. Here net assets = share capital, as Rowan Ltd has no retained earnings at the acquisition date.

6.2 Transfers to reserves

Some companies **transfer amounts between different reserves**, such as the transfer of excess depreciation from the revaluation surplus to retained earnings following revaluation of a non-current asset. Such transfers are made in the analysis columns in the CSCE. They do not impact the NCI.

In the analysis columns in the CSCE:

$$= \boxed{\begin{array}{c} \text{Group transfers} \\ + \\ \text{between reserves} \end{array}} \quad \boxed{\begin{array}{c} \text{P's transfers} \\ \text{between reserves} \end{array}} \quad \boxed{\begin{array}{c} \text{P\% of S's transfers} \\ \text{between reserves} \end{array}}$$

This **reflects** the treatment of reserves attributable to the owners of P in the **consolidated statement of financial position** ie, they include P's reserves and P's share of S's post-acquisition reserves.

6.3 Retained earnings brought forward

To calculate each of the group reserves brought forward, simply do a working, as you would for the consolidated statement of financial position, **but at the start of the year**. Therefore each group opening reserve will be:

$$= \boxed{\text{Group reserve b/f}} - \boxed{\text{P's reserve b/f}} - \boxed{\text{P\% of S's post-acquisition reserve b/f}} - \boxed{\text{Goodwill amortisation (to start of year) and any other adjustments to opening position}}$$

Note: The NCI amount brought forward will be the **NCI share of S's equity** (ie, NCI's share of S's capital and reserves) brought forward or **fair value of NCI** plus NCI share of the subsidiary's post-acquisition reserves.

Interactive question 5: Consolidated statement of changes in equity

Continuing the facts from the **Worked example: CSCE** above, you should now assume that Rowan Ltd's retained earnings at 1 July 20X7 were CU120,000.

You have also now ascertained that when Willow plc purchased its 40,000 shares in Rowan Ltd, Rowan Ltd's retained earnings stood at CU70,000. The fair value of the identifiable assets acquired and liabilities assumed were equal to their carrying amounts at the date of acquisition. NCI was measured at its fair value of CU25,000 at the date of acquisition.

Three years ago, a goodwill impairment loss of CU10,000 was recognised in Willow plc's consolidated financial statements.

Requirement

Prepare the consolidated statement of changes in equity for Willow plc for the year ended 30 June 20X8 taking account of the additional information.

See **Answer** at the end of this chapter.

6.4 Acquisition part-way through the reporting period

When a subsidiary is acquired part-way through a reporting period:

- The new NCI, as a result of the acquisition, is brought in as a single line in the CSCE. The amount is the same as that included in the goodwill calculation (ie, it is measured either using the proportionate method or at fair value).
- The NCI's share of the new subsidiary's profits and other comprehensive income for the year is the amount allocated to it in the CSPLOCI, which is based on the time-apportioned results of the subsidiary.

Interactive question 6: Acquisition part-way through the reporting period

Joseph plc acquired an 80% interest in Mary plc on 1 October 20X8. The following figures relate to the year ended 31 March 20X9.

	Joseph plc CU	Mary plc CU
Statement of profit or loss		
Revenue	800,000	550,000
Costs	(400,000)	(350,000)
Profit before tax	400,000	200,000
Income tax expense	(140,000)	(50,000)
Profit for the year	260,000	150,000

Statements of changes in equity (extracts)

	Retained earnings	
	CU	CU
Brought forward	400,000	300,000
Total comprehensive income for the year	260,000	150,000
Carried forward	<u>660,000</u>	<u>450,000</u>

Additional information

	CU	CU
Share capital	<u>500,000</u>	<u>100,000</u>

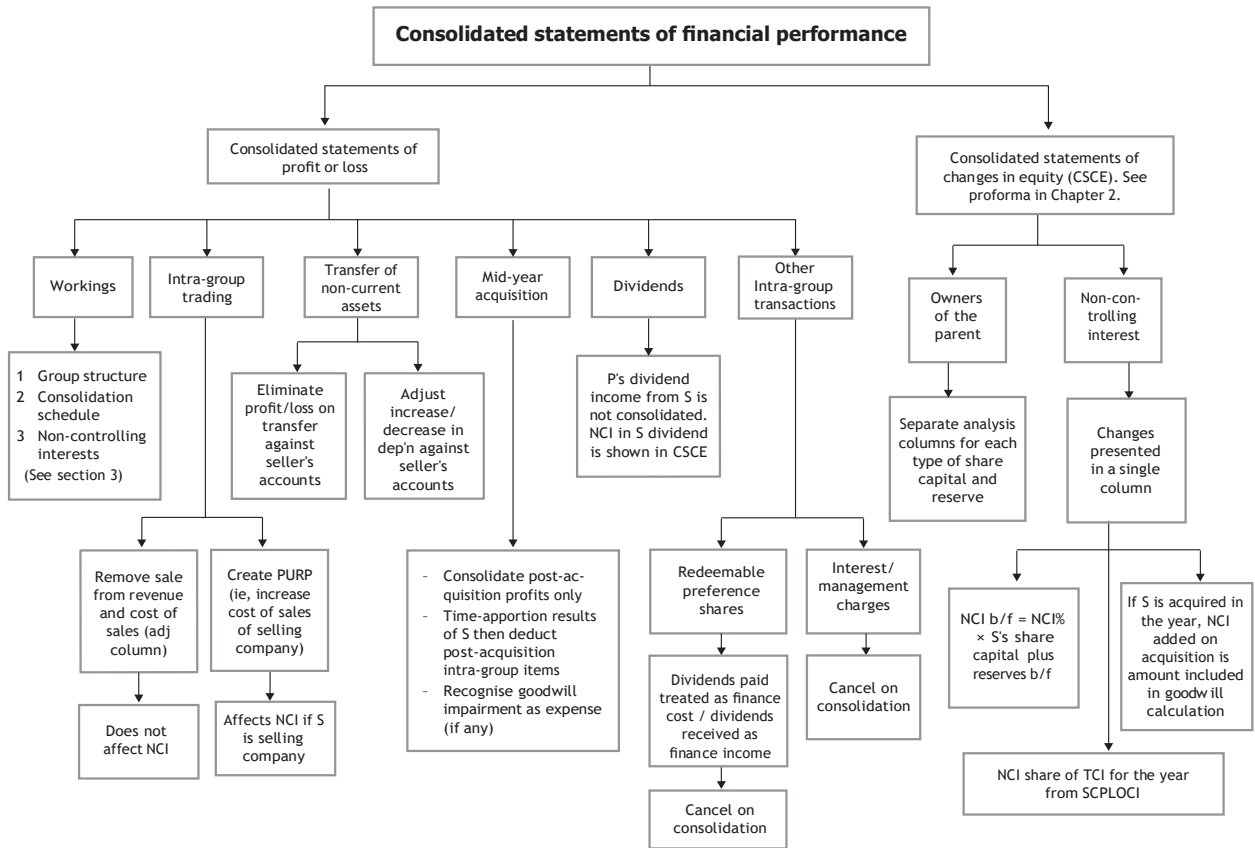
NCI is measured on the proportionate basis.

Requirement

Prepare the consolidated statement of profit or loss and the consolidated statement of changes in equity for the Joseph plc group for the year ended 31 March 20X9.

See **Answer** at the end of this chapter.

Summary



Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	How are the concepts of control and ownership reflected in the consolidated statement of profit or loss? (Topic 1)
2.	How is unrealised profit on the transfer of assets adjusted for in the consolidated statement of profit or loss? (Topic 2)
3.	Can you write out the standard workings for the consolidated statement of profit or loss? (Topic 3)
4.	What is the effect on the consolidated statement of profit or loss of an acquisition of a new subsidiary part-way through the accounting period? (Topic 4)
5.	How should dividends received (on ordinary shares) from a subsidiary be dealt with in the consolidated statement of profit or loss? And in the consolidated statement of changes in equity? (Topics 5 and 6)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question	Learning benefit from attempting this question
High plc	This question covers most of the topics in this chapter. Part (a) asks you to prepare a consolidated statement of profit or loss and includes several examinable consolidation adjustments. Part (b) requires you to explain the consolidation adjustments you have made, which is a good test of whether you have understood the underlying concepts involved in consolidation.
Ethos plc	Part (a) of this question requires the preparation of a full consolidated statement of profit or loss and a consolidated statement of changes in equity, with an acquisition part-way through the accounting period. Part (b) requires you to explain why only some of the newly-acquired subsidiary's profits are consolidated, which is a great test of your understanding, as well as your explanation skills. This question is great for practising some of the different topics covered in this chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following questions from the Question Bank for this module. These questions have been selected to introduce exam style scenarios that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question	Learning benefit from attempting this question
Oak	This question is a good test of some financial reporting issues (such as impairment of non-current assets) and consolidation. Part (a) requires you to re-calculate consolidated profit after adjusting for the issues in the scenario. Part (b) then requires you to put together a consolidated statement of changes in equity. Remember that the consolidated statement of changes in equity just shows the movements in the equity section of the consolidated statement of financial position, with the addition of a column for non-controlling interests. You may find some of these adjustments are a bit difficult, so ensure you review the suggested solution in detail.
Cristianos plc (Part 2(b) only)	The focus of this question is intra-group trading. Part (b) first asks you to prepare an extract from the consolidated statement of profit or loss, with some group trading having taken place in the year, then secondly asks you to explain the IFRS Standards treatment of the intra-group trading, referring to the qualitative characteristic of faithful representation. This is an excellent way to test whether you fully understand the principles you have applied in preparing the extract and a great question to link back to the underlying principles in the Conceptual Framework.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted these questions, you can continue your studies by moving on to the next chapter.

Technical reference

For a comprehensive Technical reference section, covering all aspects of group accounts (except group statements of cash flows) see Chapter 10.

Self-test questions

Answer the following questions.

1 Barley Ltd

Barley Ltd has owned 100% of the issued share capital of Oats Ltd for many years. Barley Ltd sells goods to Oats Ltd at cost plus 20%. The following information is available for the year.

	Revenue CU
Barley Ltd	460,000
Oats Ltd	120,000

During the year Barley Ltd sold goods to Oats Ltd for CU60,000, of which CU18,000 were still held in inventory by Oats Ltd at the year end.

Requirement

At what amount should total revenue appear in the consolidated statement of profit or loss?

2 Ufton plc

Ufton plc is the sole subsidiary of Walcot plc. The cost of sales figures for 20X1 for Walcot plc and Ufton plc were CU11 million and CU10 million respectively. During 20X1 Walcot plc sold goods which had cost CU2 million to Ufton plc for CU3 million. Ufton plc has not yet sold any of these goods.

Requirement

What should the consolidated cost of sales figure be for 20X1?

3 Hop Ltd

For the year ended 30 April 20X6 Hop Ltd and its 90% subsidiary Skip Ltd had the following trading accounts.

	Hop Ltd CU	Skip Ltd CU
Revenue	100,000	46,000
Cost of sales	(70,000)	(34,500)
Gross profit	<u>30,000</u>	<u>11,500</u>

Notes

- 1 In each company all sales were made at the same percentage mark-up.
- 2 Goods purchased by Skip Ltd at a cost of CU9,000 were sold to Hop Ltd. This transaction is reflected in the above trading accounts.
- 3 Hop Ltd had sold two-thirds of these purchases at the year end.
- 4 There had been no trading between Skip Ltd and Hop Ltd in previous years.

Requirements

3.1 What should the consolidated revenue be for the year?

3.2 What should the consolidated gross profit be for the year?

4 Shaw Ltd

Shaw Ltd owns 75% of the ordinary share capital and 40% of the CU125,000 of 8% debt of Wilde Ltd. The following details are extracted from the accounts of Wilde Ltd:

	CU
Income tax expense	24,000
Profit for the year	70,000

Shaw Ltd has profit for the year of CU80,000 in its own accounts and has no paid or proposed dividends.

Neither company has yet accounted finance income or finance costs.

Requirement

What should the total consolidated profit before tax be for the year?

5 Suton Ltd

The statement of changes in equity of Suton Ltd shows the following in respect of retained earnings:

	CU
Balance brought forward	21,000
Total comprehensive income for the year	10,000
Interim dividend paid	(7,000)
Balance carried forward	<u>24,000</u>

80% of the share capital of Suton Ltd had been acquired by Teigh plc some years ago when Suton Ltd's retained earnings amounted to CU5,000.

Requirements

5.1 How much of Suton Ltd's retained earnings should be included in closing consolidated retained earnings?

5.2 How much of Suton Ltd's profit for the period should be included in the consolidated profit for the financial year attributable to the owners of Teigh plc?

5.3 If the non-controlling interests in Suton Ltd amounted to CU5,200 at the start of the year, how much should it be at the end of the year?

6 Cherry plc

Cherry plc owns 75% of Plum plc and 60% of Peach plc. For the year ended 31 December 20X1 Plum plc reported a net profit of CU118,000 and Peach plc reported a net profit of CU56,000. During 20X1 Plum plc sold goods to Peach plc for CU36,000 at cost plus 50%. At the year-end these goods are still held by Peach plc.

Requirement

In the consolidated statement of profit or loss for the year ended 31 December 20X1 what is the profit attributable to the non-controlling interests?

7 Chicken plc

Chicken plc owns 80% of Egg plc. Egg plc sells goods to Chicken plc at cost plus 50%. The total sales invoiced to Chicken plc by Egg plc in the year ended 31 December 20X1 were CU900,000 and, of these sales, goods which had been invoiced at CU60,000 were held in inventory by Chicken plc at 31 December 20X1.

Requirement

What should the reduction in aggregate group gross profit be?

8 Marlowe Ltd

Marlowe Ltd owns 60% of the ordinary share capital and 25% of the CU200,000 5% loan stock of Southey Ltd. Neither company has yet accounted for finance costs or finance income.

The following details are extracted from the accounting records of Southey Ltd:

	CU
Profit	CU100,000
Dividend paid	CU40,000

Requirement

What amount should be presented for the profit attributable to the non-controlling interests in the consolidated statement of profit or loss of Marlowe Ltd?

9 Help Ltd

Several years ago Help Ltd acquired 75% of the ordinary share capital of Sharp Ltd. The statement of profit or loss of Sharp Ltd for the year ended 28 February 20X7 showed profit for the year of CU4,000. During the year Help Ltd sold goods to Sharp Ltd at a mark-up on cost of 50%. 75% of these goods had been sold to third parties by the year end.

Requirement

Calculate the profit allocated to the non-controlling interests for inclusion in the consolidated statement of profit or loss of Help Ltd for the year ended 28 February 20X7.

10 Dusty plc

Set out below are the summarised statements of profit or loss of Dusty plc and its 80% subsidiary Tumble Ltd.

	Dusty plc CU	Tumble Ltd CU
Operating profit	89,000	45,000
Dividend from Tumble Ltd	16,000	
Profit before tax	105,000	45,000
Income tax expense	(42,000)	(15,000)
Profit for the year	63,000	30,000

Requirement

What is the profit for the year attributable to the owners of Dusty plc to be presented in the consolidated statement of profit or loss?

11 High plc

High plc acquired its 80% interest in the ordinary shares and 25% interest in the redeemable preference shares of Tension plc for CU9,000 and CU1,000 respectively on 1 April 20X3 when Tension plc's retained earnings were CU4,000. There were no other reserves at that date. The preference shares carry no votes. The fair value of the identifiable assets acquired and liabilities assumed by High plc were equal to their carrying amounts at the date of acquisition.

The following are the draft statements of profit or loss of High plc and Tension plc for the year ended 31 March 20X9.

	High plc		Tension plc	
	CU	CU	CU	CU
Revenue		274,500		181,250
Dividends from Tension plc:				
Ordinary		4,800		–
Preference		150		–
Bank deposit interest		250		100
		279,700		181,350
Less:				
Cost of sales	126,480		86,520	
Distribution costs	67,315		42,885	
Administrative costs	25,555		17,295	
Preference dividend paid			600	
		(219,350)		(147,300)
		60,350		34,050
Income tax expense		(29,000)		(15,100)
Profit for the year		<u>31,350</u>		<u>18,950</u>

The following information is also available.

- (1) The inventory of High plc at 31 March 20X9 includes goods purchased from Tension plc at a profit to that company of CU700. Total intra-group sales for the year amounted to CU37,500.
- (2) On 1 April 20X8 High plc sold plant costing CU7,000 to Tension plc for CU10,000. The profit on sale has been taken to cost of sales. Depreciation has been provided by Tension plc at 10% pa on the cost of CU10,000.
- (3) Included in Tension plc's administrative costs is an amount for CU3,500 in respect of management charges invoiced and included in revenue by High plc.
- (4) Tension plc's issued share capital comprises 10,000 50p ordinary shares and 4,000 CU1 15% redeemable preference shares.
- (5) Four years ago, a goodwill impairment loss was recognised in High plc's consolidated financial statements leaving goodwill in the consolidated statement of financial position at CU1,200. A further CU180 impairment loss needs to be recognised in the current year.

- (6) Retained earnings at 1 April 20X8 were CU576,000 for High plc and CU72,600 for Tension plc.
 (7) Non-controlling interests are measured on the proportionate basis.

Requirements

- 11.1 Prepare the consolidated statement of profit or loss for the year ended 31 March 20X9.
 11.2 For each adjustment you have made in the consolidation schedule explain why you have made it (include in your answer the journal adjustment and the impact on consolidated profit).

12 Ethos plc

The following draft statements of profit or loss and extracts from the statements of changes in equity were prepared for the year ended 31 March 20X9.

Statements of profit or loss

	Ethos plc CU	Pathos Ltd CU
Revenue	303,600	217,700
Cost of sales	(143,800)	(102,200)
Gross profit	159,800	115,500
Operating costs	(71,200)	(51,300)
Operating profit	88,600	64,200
Finance income	2,800	1,200
Profit before tax	91,400	65,400
Income tax expense	(46,200)	(32,600)
Profit for the year	<u>45,200</u>	<u>32,800</u>

Statements of changes in equity (extracts)

	Ethos plc		Pathos Ltd	
	Other compon'ts of equity CU	Retained earnings CU	Other compon'ts of Retained earnings equity CU	CU
Balance brought forward	-	79,300	-	38,650
Total comprehensive income for the year	-	45,200	-	32,800
Transfer between reserves	15,000	(15,000)	5,000	(5,000)
Dividends paid on ordinary shares		(30,000)		
Balance carried forward	<u>15,000</u>	<u>79,500</u>	<u>5,000</u>	<u>66,450</u>

On 30 November 20X8 Ethos plc acquired 75% of the issued ordinary capital of Pathos Ltd for CU130,000. Pathos Ltd has in issue 100,000 CU1 ordinary shares. Ethos plc has 500,000 CU1 ordinary shares in issue.

Ethos plc measures non-controlling interests at fair value. The fair value of the non-controlling interests in Pathos Ltd at the date of acquisition was CU42,000.

Profits of both companies accrue evenly over the year.

Requirements

- 12.1 Prepare the consolidated statement of profit or loss and consolidated statement of changes in equity for the year ended 31 March 20X9.
- 12.2 Explain why only four months of Pathos Ltd's profit or loss should be included in the consolidated statement of profit or loss.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

	Whales Ltd CU	Porpoise Ltd CU	Adjustments CU	Consol CU
Revenue	120,000	70,000	(30,000)	160,000
Cost of sales - per question	(80,000)	(50,000)	30,000	
- PURP		(2,000)		(102,000)
Gross profit	40,000	18,000		58,000

Notes

- 1 The intra-group sale is eliminated in the **adjustments column**. It has no effect on the overall profit.
- 2 The unrealised profit is eliminated by increasing the cost of sales of the selling company. Where the selling company is the subsidiary this will reduce the profit figure on which the calculation of non-controlling interests is subsequently based.

Answer to Interactive question 2

	P Ltd CU	S Ltd CU	Adjustment CU	Consolidated CU
Depreciation (per question)	(35,000)	(25,000)		
NCA PURP (15,000 - (12,000 - 4,800))	(7,800)			
Depreciation adjustment ((15,000/3) - ((12,000 - 4,800*)/3))	2,600			(65,200)

* 4,800 is 2/5 of cost

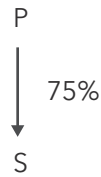
Answer to Interactive question 3

3.1 Consolidated statement of profit or loss (extracts) for the year ended 30 September 20X7

	CU
Revenue (W2)	130,000
Cost of sales (W2)	(74,000)
Gross profit	56,000
Non-controlling interests (W3)	1,750

WORKINGS

(1) Group structure



(2) Consolidation schedule

	Pathfinder Ltd	Sultan Ltd	Adjustments	Consol.
	CU	CU	CU	CU
Revenue	100,000	50,000	(20,000)	130,000
Cost of sales – per question	(60,000)	(30,000)	20,000	
– PURP (W4)	(4,000)			(74,000)
Expenses		(10,000)		
Income tax		<u>(3,000)</u>		
Profit		7,000		

(3) Non-controlling interests

	CU
Sultan Ltd (25% × 7,000 (W2))	1,750

(4) PURP

	%	CU		CU
Selling price	100	20,000		
Cost	<u>(60)</u>	<u>(12,000)</u>		
Gross profit	<u>40</u>	<u>8,000</u>	× ½ =	4,000

3.2 Consolidated statement of profit or loss for the year ended 30 September 20X7

	CU
Revenue (W2)	130,000
Cost of sales (W2)	<u>(74,000)</u>
Gross profit	56,000
Expenses (W2)	<u>(30,000)</u>
Profit before tax	26,000
Income tax expense (W2)	<u>(9,000)</u>
Profit for the year	17,000
Profit attributable to:	
Owners of Pathfinder Ltd (β)	16,250
Non-controlling interests (W3)	<u>750</u>
	<u>17,000</u>

WORKINGS

(1) Group structure

As in part (3.1)

(2) Consolidation schedule

	Pathfinder Ltd CU	Sultan Ltd CU	Adjustments CU	Consolidated CU
Revenue	100,000	50,000	(20,000)	130,000
Cost of sales				
- per question	(60,000)	(30,000)	20,000	
- PURP (W4)		(4,000)		(74,000)
Expenses	(20,000)	(10,000)		(30,000)
Income tax	(6,000)	<u>(3,000)</u>		(9,000)
Profit		<u>3,000</u>		

(3) Non-controlling interests

Sultan Ltd (25% × 3,000 (W2))	CU 750
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(4) PURP

As in part (3.1)

Answer to Interactive question 4

P Ltd Consolidated statement of profit or loss for the year ended 31 December 20X7

	P Ltd CU	9/12 S Ltd CU	Adjustments CU	Consolidated CU
Revenue	100,000	56,250	(15,000)	141,250
Cost of sales	<u>(70,000)</u>	<u>(45,000)</u>	<u>15,000</u>	<u>(100,000)</u>
Gross profit	<u>30,000</u>	<u>11,250</u>		<u>41,250</u>

Answer to Interactive question 5

Consolidated statement of changes in equity for the year ended 30 June 20X8

Attributable to owners of Willow plc

	Share capital CU	Retained earnings CU	Total CU	Non-controlling interests CU	Total CU
Brought forward (W)	200,000	302,000	502,000	33,000	535,000
Total comprehensive income for the year		178,000	178,000	13,000	191,000
Dividends		<u>(20,000)</u>	<u>(20,000)</u>	<u>(6,000)</u>	<u>(26,000)</u>
Carried forward	<u>200,000</u>	<u>460,000</u>	<u>660,000</u>	<u>40,000</u>	<u>700,000</u>

WORKINGS

(1) Group retained earnings b/f

	CU
Willow plc	270,000
Rowan Ltd ($80\% \times (120,000 - 70,000)$)	40,000
Goodwill impairment to date ($10,000 \times 80\%$)	<u>(8,000)</u>
	<u>302,000</u>

(2) NCI b/f

	CU
Fair value at acquisition	25,000
Share of post-acquisition retained earnings ($(120,000 - 70,000) \times 20\%$)	10,000
Goodwill impairment ($10,000 \times 20\%$)	<u>(2,000)</u>
	<u>33,000</u>

Answer to Interactive question 6

Consolidated statement of profit or loss for the year ended 31 March 20X9

	CU
Revenue (Joseph + half Mary)	1,075,000
Costs (Joseph + half Mary)	<u>(575,000)</u>
Profit before tax	500,000
Income tax (Joseph + half Mary)	<u>(165,000)</u>
Profit for the year	<u>335,000</u>
Profit attributable to: Owners of Joseph plc (β)	320,000
Non-controlling interests (W1)	<u>15,000</u>
	<u>335,000</u>

Consolidated statement of changes in equity for the year ended 31 March 20X9

Attributable to owners of Joseph plc

	Share capital CU	Retained earnings CU	Total CU	Non-controlling interests CU	Total CU
Brought forward	500,000	400,000	900,000	-	900,000
Total comprehensive income for the year	-	320,000	320,000	15,000	335,000
Added on acquisition of subsidiary (W2)				<u>95,000</u>	<u>95,000</u>
Carried forward	<u>500,000</u>	<u>720,000</u>	<u>1,220,000</u>	<u>110,000</u>	<u>1,330,000</u>

WORKINGS

(1) Non-controlling interests in profit for the year

	CU
20% of (150,000 × 50%)	15,000

(2) Non-controlling interests added on acquisition

	CU	CU
Share capital	100,000	
Retained earnings b/f	300,000	
Profit for first half of current year (150,000 × 50%)	75,000	
20% of	475,000	95,000

Answers to Self-test questions

1 Barley Ltd

Revenue = 460,000 + 120,000 - 60,000 = CU520,000

2 Ufton plc

CU19 million

	Walcot plc	CUm	Ufton plc	CUm	Adj
					CUm
Cost of sales	(11)		(10)		3
PURP	(1)				

3 Hop Ltd

3.1 CU134,000

	CU
Hop Ltd	100,000
Skip Ltd	46,000
Less intra-group sales (9,000 × 46/34.5)	(12,000)
	<u>134,000</u>

3.2 CU40,500

	CU
Hop Ltd	30,000
Skip Ltd	11,500
Less PURP ((12,000 - 9,000) × 1/3)	(1,000)
	<u>40,500</u>

4 Shaw Ltd

CU168,000

	Shaw Ltd	Wilde Ltd	Adj	Cons
	CU	CU	CU	CU
Finance income (40% × 10,000*)	4,000		(4,000)	-
Finance costs		(10,000)	4,000	(6,000)
PBT	80,000	94,000		<u>174,000</u>
				<u>168,000</u>

*125,000 × 8%

5 Sutton Ltd

- 5.1 Share of Sutton's post-acquisition retained earnings = $(24,000 - 5,000) \times 80\%$
 $= 19,000 \times 80\% = \text{CU}15,200$
- 5.2 Profit for the year = $10,000 \times 80\% = \text{CU}8,000$
- 5.3 NCI c/f will be CU5,800

	CU
B/f	5,200
Share of TCI for year $(10,000 \times 20\%)$	2,000
Less share of dividends $(7,000 \times 20\%)$	<u>(1,400)</u>
C/f	<u>5,800</u>

6 Cherry plc

CU48,900

	CU
Share of Plum plc profit $(25\% \times 118,000)$	29,500
Share of Peach plc profit $(40\% \times 56,000)$	22,400
Less share of PURP $(25\% \times 36,000 \times 50/150)$	<u>(3,000)</u>
	<u>48,900</u>

7 Chicken plc

CU20,000

	%	CU
Sales price	150	60,000
Cost	<u>(100)</u>	<u>(40,000)</u>
Gross profit	<u>50</u>	<u>20,000</u>

8 Marlowe Ltd

CU36,000

	CU
Profit before finance cost	100,000
Finance cost $(200,000 \times 5\%)$	<u>(10,000)</u>
	<u>90,000</u>
$\times 40\%$	<u>36,000</u>

9 Help Ltd

CU1,000

	CU
Share of profit for the year $(25\% \times 4,000)$	1,000

Note: As the inventory was sold by Help Ltd, the PURP adjustment would be against Help Ltd's profits and would have no impact on the NCI.

10 Dusty plc

CU71,000

	CU
Operating profit – Dusty plc	89,000
Less income tax expense	(42,000)
	<u>47,000</u>
Group share of Tumble Ltd (80% × 30,000)	24,000
	<u>71,000</u>

11 High plc

11.1 Consolidated statement of profit or loss for the year ended 31 March 20X9

	CU
Revenue (W2)	414,750
Cost of sales (W2)	(178,900)
Gross profit	235,850
Distribution costs (W2)	(110,200)
Administration expenses (W2)	(39,530)
Operating profit	86,120
Finance cost (W2)	(450)
Finance income (W2)	350
Profit before tax	86,020
Income tax expense (W2)	(44,100)
Profit for the year	<u>41,920</u>
Attributable to:	
Owners of High plc (β)	38,270
Non-controlling interests (W3)	<u>3,650</u>
	<u>41,920</u>

11.2 Adjustments in consolidation schedule

(1) Intra-group sales of inventory

As the consolidated accounts treat High plc and Tension plc as one entity, the total intra-group trading needs to be eliminated on consolidation. The total of CU37,500 will be in both Tension plc's revenue and High plc's cost of sales. The adjustment required is

	DR CU	CR CU
Revenue	37,500	
Cost of sales		37,500

This has no impact on net consolidated profit.

For the same reason, it is also necessary to eliminate the unrealised profit on the inventory held by High plc at the year end. This adjustment will also reduce inventory to original cost to the group.

The adjustment is

	DR	CR
	CU	CU
Cost of sales of Tension plc	700	
Inventory in the consolidated statement of financial position		700

This will reduce consolidated profit.

(2) Intra-group sale of plant

For the same reasons as given for inventory above, it is necessary to eliminate the unrealised profit and reduce the plant to its original cost.

The adjustment is

	DR	CR
	CU	CU
Cost of sales of High plc	3,000	
Cost of plant in the consolidated statement of financial position		3,000

This will have a one-off impact on consolidated profit this year.

In current and future years (until the plant has been fully depreciated by Tension plc) it will also be necessary to adjust the depreciation charge by 10% of the PURP, to reflect the gradual realisation of the above profit through the annual depreciation charge. This will require the following.

	DR	CR
	CU	CU
Accumulated depreciation in the consolidated statement of financial position	300	
Cost of sales of High plc		300

Therefore, the net impact is to reduce current year consolidated profit by CU2,700.

(3) Management charges

As with intra-group trading, this charge must be contra'd out on consolidation to reflect the single entity concept.

The adjustment required is

	DR	CR
	CU	CU
Revenue of High plc	3,500	
Administrative costs of Tension plc		3,500

This has no impact on consolidated profit.

(4) Impairment of goodwill

Goodwill only exists in the consolidated accounts and therefore the individual statements of profit or loss include no impairment of goodwill. The impairment charge for the year is dealt with as follows.

	DR CU	CR CU
Administration costs	180	
Goodwill in the consolidated statement of financial position		180

(5) Redeemable preference shares

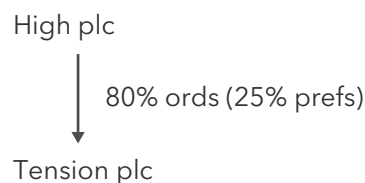
These are in substance liabilities and the net 'dividend' payable outside the group should be included as part of the consolidated finance cost.

Effectively the 'dividends' paid by Tension plc are contra'd against the dividends received by High plc and the adjustment required is

	DR CU	CR CU
Dividends received	150	
Dividends paid (25% × CU600)		150

This leaves CU450 payable to third parties. WORKINGS

(1) Group structure



(2) Consolidation schedule

	High plc CU	Tension plc CU	Adj CU	Consol CU
Revenue	274,500	181,250	(37,500) (3,500)	414,750
Cost of sales				
Per question	(126,480)	(86,520)	37,500	
Inventory PURP		(700)		
NCA PURP	(3,000)			
Depreciation (10% × 3,000)	300			(178,900)
Distribution costs	(67,315)	(42,885)		(110,200)
Admin expenses				
Per question	(25,555)	(17,295)	3,500	
Impairment of goodwill	(180)			(39,530)
Preference dividends received	150		(150)	
Preference dividends paid		(600)	150	(450)
Finance income - interest	250	100		350
Income tax	(29,000)	(15,100)		(44,100)
Profit for the year		18,250		

(3) Non-controlling interests

$$20\% \times \text{CU}18,250 = \text{CU}3,650$$

(4) Goodwill

	CU
Consideration transferred	9,000
Non-controlling interest at acquisition ($9,000 \times 20\%$)	1,800
Less fair value of identifiable assets acquired and liabilities assumed at acquisition	
Ordinary shares	(5,000)
Retained earnings	(4,000)
On acquisition	<u>1,800</u>
Carrying amount at last impairment	<u>(1,200)</u>
Impairment loss previously recognized	<u>600</u>

12 Ethos plc

12.1 Consolidated statement of profit or loss for the year ended 31 March 20X9

	CU
Revenue (W2)	376,167
Cost of sales (W2)	(177,867)
Gross profit	<u>198,300</u>
Operating costs (W2)	(88,300)
Operating profit	<u>110,000</u>
Finance income (W2)	3,200
Profit before tax	<u>113,200</u>
Income tax expense (W2)	(57,067)
Profit for the year	<u>56,133</u>
Profit attributable to Owners of Ethos plc (b)	53,400
Non-controlling interests (W3)	<u>2,733</u>
	56,133

Consolidated statement of changes in equity for the year ended 31 March 20X9

	Attributable to owners of Ethos plc					
	Ordinary share capital	Other components of equity	Retained earnings	Total	Non- controlling interests	Total
	CU	CU	CU	CU	CU	CU
Balance brought forward	500,000	-	79,300	579,300	-	579,300
Total compr've income for the year	-	-	53,400	53,400	2,733	56,133
Transfer between reserves (W4)	-	16,250	(16,250)	-	-	-
Added on acquisition of subsidiary	-	-	-	-	42,000	42,000
Dividend paid on ordinary shares	<u> </u>	<u> </u>	<u>(30,000)</u>	<u>(30,000)</u>	<u> </u>	<u>(30,000)</u>
Balance carried forward	<u>500,000</u>	<u>16,250</u>	<u>86,450</u>	<u>602,700</u>	<u>44,733</u>	<u>647,433</u>

12.2 Time apportionment

The results of a subsidiary are included in the consolidated financial statements only from the date control is achieved.

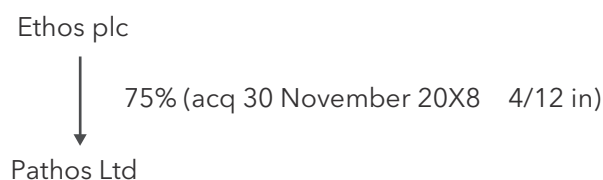
Ethos plc acquired 75% of the issued ordinary capital of Pathos Ltd on 30 November 20X8. This is the date on which control passed and hence the date from which the results of Pathos Ltd should be reflected in the consolidated statement of profit or loss.

Therefore, only profits earned by Pathos Ltd in the four months since that date are post-acquisition profits.

The remaining previous eight months profit from 1 April 20X8 to 30 November 20X8 are all pre-acquisition profits and should be included in the calculation of goodwill on consolidation.

WORKINGS

(1) Group structure



(2) Consolidation schedule

		4/12		
	Ethos plc	Pathos Ltd	Adj	Consol
	CU	CU	CU	CU
Revenue	303,600	72,567	-	376,167
Cost of sales	(143,800)	(34,067)	-	(177,867)
Op costs	(71,200)	(17,100)		(88,300)
Finance income	2,800	400		3,200
Income tax	(46,200)	(10,867)		(57,067)
Profit for the year		10,933		

(3) Non-controlling interests in profit for the year

	CU
25% × 10,933 (W2)	<u>2,733</u>

(4) Transfers between components of equity

	CU
Ethos plc	15,000
Pathos Ltd (75% × 5,000 × 4/12)	<u>1,250</u>
	<u>16,250</u>

Notes

- 1 The NCI in Pathos Ltd's reserve transfer does not appear because the two entries are cancelled out in the single NCI column.
- 2 Alternative calculation for profit for the year of Pathos Ltd (W2)

	CU
PFY per question 32,800 × 4/12	10,933